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Auto Parts | Japan

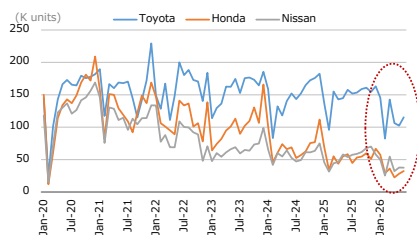
Implications of Japanese OEM New Auto Sales in China (June 2026) for Auto Parts Industry

Key Takeaways

- China new vehicle sales by Japanese OEMs in June 2026 were -27% for Toyota, -44% for Honda, and -30% for Nissan. Implications for auto parts suppliers are somewhat negative.
- For the Apr–Jun period as a whole, sales were -27%, -47%, and -32%, respectively. While 1Q earnings at parts suppliers may benefit from positives such as yen weakness, China operations are likely to deteriorate more than was expected.
- Parts suppliers are taking steps such as reorganizing/consolidating production sites, optimizing workforces, and booking equipment impairment, but some companies will likely need to undertake further structural reforms.
- With Japanese OEMs increasing their use of parts made by local Chinese suppliers, and indicating moves toward benchmarking using Chinese parts, we continue to think that intensifying competition is an issue for Japanese auto parts companies.
- We think Japanese auto parts suppliers will need to respond through measures such as sourcing and utilizing locally procured Chinese materials, localizing development and improving development speed, and forming partnerships with Chinese companies.

Japan’s three major automobile OEMs had all announced June 2026 sales volumes for new cars in China by July 10. The figure for Toyota was 115k units (-27% YoY), Honda sold 32k units (-44%), and Nissan sold 38k units (-30%). For April–June 2026, new car sales totaled 324k units for Toyota (-27% YoY), 83k units for Honda (-47%), and 107k units for Nissan (-32%). Domestic sales in China declined sharply due to weaker demand for gasoline-powered vehicles amid higher crude oil prices.

Exhibit 1: New vehicles sales of 3 Japanese OEMs in China (monthly)



Source: Company data, Morgan Stanley Research

Exhibit 2: New vehicle sales of Japanese OEMs in China (quarterly)

	2024				2025				2026	
	1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12	1-3	4-6
(k units)										
Toyota	374.0	410.7	460.5	530.8	387.4	445.4	464.0	478.6	370.7	324.1
Honda	206.9	209.0	172.1	264.1	157.9	157.3	152.7	177.5	122.5	83.3
Nissan	167.3	172.0	157.7	199.6	121.3	158.1	177.7	195.9	130.0	107.4
(YoY)										
Toyota	-2%	-18%	-9%	1%	4%	8%	1%	-10%	-4%	-27%
Honda	-6%	-32%	-43%	-34%	-24%	-25%	-11%	-33%	-22%	-47%
Nissan	3%	-12%	-16%	-19%	-27%	-8%	13%	-2%	7%	-32%
(QoQ)										
Toyota	-28%	10%	12%	15%	-27%	15%	4%	3%	-23%	-13%
Honda	-49%	1%	-18%	53%	-40%	0%	-3%	16%	-31%	-32%
Nissan	-32%	3%	-8%	27%	-39%	30%	12%	10%	-34%	-17%

Source: Company data, Morgan Stanley Research

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AUTO PARTS

Japan

Industry View

In-Line

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(as of June 30, 2026)

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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Hayato Takashima		
Nifco (7988.T)	O (03/06/2024)	¥5,089
Shinji Kakiuchi		
Aisin (7259.T)	E (06/09/2026)	¥2,291
Denso (6902.T)	E (06/09/2026)	¥1,934
EXEDY (7278.T)	E (09/04/2025)	¥5,930
F.C.C. (7296.T)	U (09/04/2025)	¥3,500
GS Yuasa Corporation (6674.T)	O (04/21/2026)	¥6,178
Koito Mfg. (7276.T)	E (10/08/2025)	¥2,557
Musashi Seimitsu Industry (7220.T)	E (02/09/2026)	¥3,640
NHK Spring (5991.T)	O (07/09/2024)	¥3,816
NOK (7240.T)	E (12/01/2025)	¥2,911
Stanley Electric (6923.T)	E (03/06/2025)	¥3,512
TOKAI RIKAI (6995.T)	E (03/03/2026)	¥3,025
Toyoda Gosei (7282.T)	O (03/06/2024)	¥5,084
Toyota Boshoku (3116.T)	E (03/06/2024)	¥2,179
TS Tech (7313.T)	U (03/06/2025)	¥1,741
Unipres (5949.T)	E (09/04/2025)	¥1,258

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